11.3 BULL CALL SPREAD STRATEGY

Explainer Video

This strategy is used when we are bullish on the underlying asset. This strategy has limited profit and loss potential. We have to pay a net premium to enter into this trade.

STEPS TO FORM AN BULL CALL SPREAD STRATEGY

BUY

We buy a call option with strike price being lower than the levels that we expect the underlying asset price to reach.

SELL

We will sell a call option with a strike price that is higher than the strike price of the option that we have purchased.

MAXIMUM LOSS = PREMIUM PAID ON OPTION 1 - PREMIUM RECEIVED ON OPTION 2

BREAKEVEN POINT = LOWER STRIKE + NET PREMIUM

MAXIMUM PROFIT = DIFFERENCE IN STRIKE – NET PREMIUM